COURSE

Pearson Edexcel GCSE (9-1) in Business (1BS0)

Working with suppliers

Theme 2: Building a business · Topic 2.3 Making operational decisions · 2.3.2 Managing stock

Revision for Theme 2: Building a business: each firm works it out on its own deals.

Class	Topic
Pearson Edexcel GCSE Business (1BS0)	**Working with suppliers**

THE LESSON

Setup — 2 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	Deals	TASK 1 Reorder level	TASK 2 Too much stock

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	Deals	TASK 3 Reorder in order	TASK 4 Cars to order now	B2B deal

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	Deals	TASK 5 JIT or hold stock	TASK 6 Weeks until reorder	B2B deal

Final questions — 3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Never run out for them.

Reorder level, in cars?

WORK OUT THE NUMBER · EXAMPLE FIGURES

They buy each week	**2 cars**
Supplier delivers in	**2 weeks**
Buffer stock	**5 cars**

METHOD

Reorder level = weekly sales × delivery weeks + buffer

2 × 2 + 5 = 9 cars

Why: The buffer of 5 covers a late delivery or a busy week.

Task 2

ROUND 1

Your yard holds far more cars than you sell in a month.

Which two problems are most likely?

PICK TWO

- ✔ **Cash tied up in stock**
- ✔ **Higher storage costs**
- ○ Lost sales from empty space
- ○ Lower insurance costs
- ○ Running out of cars to sell

Why: Extra stock holds cash and costs money to keep.

Task 3

ROUND 2

You use a reorder level and buffer stock.

Put these in order, first to last?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Stock falls to the reorder level**
2. **You place an order**
3. **The lead time passes**
4. **New cars arrive**

Why: The order goes in at the reorder level and arrives after the lead time.

Task 4

ROUND 2

Fill the yard on delivery.

Cars to order now, to fill the yard on delivery?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

In stock now	**13 cars**
They buy each week	**5 cars**
Supplier delivers in	**2 weeks**
Your yard holds at most	**15 cars**

METHOD

Order = yard size − (stock now − weekly sales × delivery weeks)

13 − 5 × 2 = 3 left; 15 − 3 = 12 cars

Why: 3 are left when the order lands, so order 12.

Task 5

ROUND 3

Your supplier is two hours away and always on time. Hold 40 cars, or hold 10 and reorder often?

Which should you choose, and why?

PICK A OR B AND GIVE A REASON

- ✔ **Hold 10 and reorder often**
- ○ Hold 40 cars

Why: A reliable, nearby supplier lets you hold less and free up cash.

Task 6

ROUND 3

When do you order next?

Weeks until you reorder?

WORK OUT THE NUMBER · EXAMPLE FIGURES

They buy each week	**3 cars**
Supplier delivers in	**3 weeks**
Buffer stock	**2 cars**
In stock	**14 cars**

METHOD

Weeks = (stock – reorder level) ÷ weekly sales

Reorder level 3 × 3 + 2 = 11; (14 − 11) ÷ 3 = 1

Why: Reorder in 1 weeks, when 11 cars are left.

Final questions

6	150	7
questions for each pupil	Level 2 Business questions	of them on working with suppliers

The game draws 6 questions on this topic.

1 What is one risk of relying on a single overseas parts supplier?
A problem abroad could stop its supply.

2 Which evidence set is most useful when selecting a supplier for regularly needed vehicle parts?
Price, quality, reliability and delivery performance.

3 Supplier A is slightly cheaper, but frequently delivers parts late. Supplier B is reliable. Which factor supports choosing B for urgent repairs?
Dependability of delivery.

4 Delivery fuel costs rise sharply. Which operational response is most likely to reduce the impact?
Plan shorter routes with fuller vans.

5 A key supplier enters insolvency. Which information is most important first?
Open orders, stock cover and backup suppliers.

6 A supply chain is every business that helps get a product to the customer. A tyre maker's factory floods. Using this, what happens to a workshop?
Its tyre deliveries may stop, though it did nothing wrong.

7 A reliable supplier delivers the right parts, in full, when promised. The cheapest supplier delivers late one time in three. What does staying with it really cost?
Delayed jobs and waiting customers can cost more than the saving.